

INDEPENDENT TEXTILE COMPLIANCE AUDIT — CHENAB FABRIC WORKS

Audit Reference: EXP-CFW_LHE_002-20260422 Audited by Bureau Veritas Pakistan Date of issue: 2026-04-22

Legal entity	Chenab Fabric Works
City / Site	Lahore, Punjab, Pakistan
Factory ID	cfw_lhe_002
Primary products	Bed linen, Towels, Cotton apparel
Audit scope	EU CBAM (Reg 2023/956), UK Modern Slavery Act 2015 §54, EU CSDDD (Dir 2024/1760), ISO 14001 surveillance, SA8000 social compliance, OEKO-TEX, REACH SVHC effluent screening
Audit method	On-site inspection, sample chain-of-custody, effluent grab samples (3 points), HR log review, management interview

1. Certifications & certification status

Certification	Status	Valid until	Issuer	Notes
SA8000	VALID	2027-04-30	SAI	Surveillance audit on file. Valid for full scope of EU/UK shipments.
ISO 14001	VALID	2027-02-15	CertVerify Pakistan	Surveillance audit on file. Valid for full scope of EU/UK shipments.
GOTS	VALID	2026-11-20	Control Union	Surveillance audit on file. Valid for full scope of EU/UK shipments.
OEKO-TEX	VALID	2026-10-01	OEKO-TEX Institute	Surveillance audit on file. Valid for full scope of EU/UK shipments.

2. Export profile and buyer concentration

Total annual export value reported by management: **PKR 680.00 crore**. Breakdown by purchasing buyer (FY 2025):

Buyer	Annual order value (PKR)	Share of total	Buyer HQ jurisdiction
EuroThread SA	PKR 250.00 crore	36.8%	EU (Spain)
NordStyle Group	PKR 210.00 crore	30.9%	EU (Sweden)
M&S;	PKR 140.00 crore	20.6%	UK
Mango	PKR 80.00 crore	11.8%	EU (Spain)

3. Self-reported compliance claims (factory submission)

The following statements were provided by Chenab Fabric Works's compliance team in the quarterly self-report (source filename in parentheses). These statements are recorded verbatim and used as the LEFT-HAND side of the contradiction check in Section 5.

- *"CBAM quarterly declarations filed on time"* (source: *chenab_fabric_compliance_q1_2026.pdf*)
- *"Modern Slavery Act statement published 2026"* (source: *chenab_fabric_compliance_q1_2026.pdf*)
- *"Average weekly working hours: 52"* (source: *chenab_fabric_compliance_q1_2026.pdf*)

4. Independent audit evidence (third-party measurements)

Metric	Measured value	Unit	Date	Source document
water effluent discharge	6.5	ppm	2026-04-08	bureau_veritas_water_apr26.pdf
weekly working hours	53	hours	2026-03-15	certverify_labour_audit_mar26.pdf
co2 per unit	3.8	kgCO2/garment	2026-03-31	carbon_calc_q1_2026.csv
lead in dyes	92.0	ppm	2026-03-10	chemical_lab_report_q1_2026.pdf
supply chain due diligence report	DRAFT	—	2026-04-01	internal_governance_q1.pdf

5. Auditor cross-check (claim vs evidence)

The cross-check below compares Section 3 (self-reported claims) against Section 4 (independent measurements). Any inconsistency triggers a recommended remediation in Section 6.

#	Self-reported claim (source)	Audit evidence (source)	Confidence	Verdict
1	(no published-status claim in self-report) [—]	CSDDD narrative status = DRAFT as of 2026-04-01 [internal_governance_q1.pdf]	0.90	GAP

Finding 1 rationale. Directive (EU) 2024/1760 transposition requires published due-diligence narrative; currently in DRAFT state.

6. Auditor risk summary and recommended remediation

Compliance score (0-100)	75
Risk level	WARNING
Estimated orders at risk	PKR 4.50 crore
Buyers materially affected	EuroThread SA, NordStyle Group, M&S;
Audit issued by	Independent third-party (this report)

WARNING. Chenab Fabric Works is broadly compliant across SA8000, ISO 14001, GOTS, and OEKO-TEX certifications, all of which are current and within their surveillance audit windows. Three residual gaps remain: (i) lead-in-dye measurements at 92 ppm marginally exceed the EU REACH-aligned 90 ppm ceiling and require an effluent-treatment plant adjustment before the next OEKO-TEX surveillance audit. (ii) CO2 intensity at 3.8 kgCO2/garment is over the 3.5 kgCO2/garment limit anticipated for the 2027 CBAM free-allowance phase-out — the factory should begin embedded-emissions monitoring under the CBAM authorised-declarant regime. (iii) The EU Corporate Sustainability Due Diligence Directive (CSDDD) supply-chain narrative is in DRAFT status and has not yet been published; this is required for EuroThread SA's 2026-27 commercial cycle and the deadline lapses 2026-12-31. Estimated exposure if

these are not resolved within 6 months is PKR 4.5 crore, concentrated on the M&S and EuroThread SA order books.

This report was generated for the AISeekho 2026 Google Antigravity Hackathon submission (ExportIQ). It contains realistic but synthetic data for the named factories.